

EYE ON COMMERCIAL VEHICLES

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→ Key headwinds for the sector include elevated commodity prices and rising fuel costs, which are impacting the cash flows of truck operators

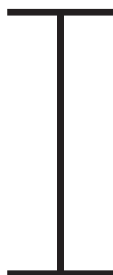
→ Vehicle prices have increased by over 20 per cent in the past 15-18 months

→ CV makers believe that buses are in the best position to go electric

→ The next 2-3 years will be crucial for the CV segment to realise its true growth potential

29%

**DROP IN
COMMERCIAL
VEHICLE SALES IN
FY20 TO 717,688
UNITS FROM 1
MILLION IN FY19**



INDIA'S COMMERCIAL VEHICLE (CV) segment was already battling falling sales when the Covid-19 pandemic made it worse. In 2019-20, according to industry body the Society of Indian Automobile Manufacturers (SIAM), CV sales dropped 29 per cent to 717,688 units—from its peak of 1 million in FY19—because retail financing took a major hit and there was a transition from BS-IV emission norms to stricter BS-VI norms. In FY21, after the pandemic hit, CV sales plunged 21 per cent to 568,559 units. During the first nine months of FY22, sales improved to 531,702, compared to 388,497 in the corresponding period in FY21.

As infrastructure development projects pick up, and the logistics and e-commerce sectors grow, coupled with easing of financing options, companies including market leader Tata Motors and other players like Ashok Leyland and Volvo Eicher Commercial Vehicles (VECV) are betting on the recovery of the bus segment, pent-up demand and CNG to cross the bridge between recession and recovery. “We expect CV volumes to gradually recover to pre-pandemic levels over the next three years,” says Sanjeev Kumar, Head of M&HCV (medium and heavy CV) at Ashok Leyland.

It won't be easy, though. According to ratings agency ICRA, key headwinds for the sector include elevated commodity prices and rising fuel costs, which are impacting the cash flows of truck operators. As petrol and diesel prices have risen umpteen

times in the past month, a rebound to the industry's 2018-19 peak seems further away. “When fuel prices increase, transporters are hit very badly, which means they become conservative in going for replacements. It puts pressure on us as they are our customers,” says Vinod Aggarwal, MD and CEO of VECV. Pushan Sharma, Director of CRISIL Research, adds that the increase in diesel prices hurts small fleet operators most since they are unable to fully pass on the input cost increase during a weak freight demand environment seen during FY21 and the first half of FY22.

Other key challenges include semiconductor shortages, intense competition and rising vehicle prices. Vehicle prices have increased by over 20 per cent in the past 15-18 months to accommodate rising commodity prices and regulatory requirements, especially emission norms. Girish Wagh, Executive Director at Tata Motors, says that the commodity price rise, especially steel and precious metals, necessitated the company to increase prices. However, he adds that “the company has strived to minimise the increase in prices by absorbing a certain portion of the cost at various levels of manufacturing”.

Despite the challenges, there is hope on the horizon.

GREEN SHOOTS OF RECOVERY

The Automotive Component Manufacturers Association of India (ACMA) is cautiously optimistic. “On the CV front, it seems to be going well as CVs suffered quite a bit in [the past] two-three years because of the demand pattern changing and because of new axle-load norms,” says Vinnie Mehta, Director General, ACMA. (In 2018, the maximum safe axle weight in a vehicle of single axle with two tyres was changed from 7.5 tonnes to 7 tonnes. The government had also increased the official maximum load carrying capacity of heavy